

Employee or Contractor?

How the IRS Actually Decides

A Plain-English Guide to Worker Classification

The Foundational Reference for Every 1099 vs. W-2 Decision

What We'll Cover

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Why this one test underlies almost every classification question

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The three factors, and how the IRS weighs them together

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Each factor explained in plain English, with real signals to look for

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How to get real certainty when a case is genuinely unclear

One Test, Almost Every Decision

Whether you're hiring your first contractor, reviewing a worker you've had for years, or responding to a question from your accountant, it almost always comes back to this same framework.

The IRS calls it the **common-law control test**. It's not a checklist you can complete once and forget — it's a lens for evaluating a working relationship as it actually functions, not just what a contract says.

3

factors, weighed together —
no single one decides the case

Behavioral · Financial · Relationship

The Three Factors

The IRS looks at the whole relationship — these three lenses, considered together, not in isolation.



Behavioral Control

Does the business control, or have the right to control, how the work gets done?



Financial Control

Who controls the business side — investment, expenses, opportunity for profit or loss?



Type of Relationship

Are there benefits, a contract, and is the work central and ongoing to the business?



Factor 1: Behavioral Control

Signals of EMPLOYEE status

- You set specific hours or a fixed schedule
- You give detailed instructions on how, when, and where work happens
- You train the worker on your required procedures
- You evaluate the process, not just the finished result

Signals of CONTRACTOR status

- Worker decides their own hours and methods
- You specify the outcome, they determine the approach
- Worker brings pre-existing expertise; no training needed
- You evaluate the final product, not the day-to-day process

Key idea: It's the right to direct the work that matters, not whether you actually exercise it every day.



Factor 2: Financial Control

Signals of EMPLOYEE status

- You reimburse expenses or supply tools/equipment
- Worker has no other clients — you're their sole income
- Worker earns a guaranteed wage regardless of outcome
- Worker bears no real risk of profit or loss

Signals of CONTRACTOR status

- Worker invests in their own equipment and tools
- Worker markets services to other clients in the market
- Worker bills a flat or project rate, bearing the risk of loss
- Worker can realize a genuine profit or a genuine loss

Key idea: A true business bears real economic risk. Guaranteed pay with no downside looks like a wage, not an invoice.



Factor 3: Type of Relationship

Signals of EMPLOYEE status

- You offer benefits: insurance, PTO, retirement contributions
- The relationship is open-ended, with no defined end
- The work is central to your core business, not incidental
- No contract exists, or it describes at-will employment

Signals of CONTRACTOR status

- No employee-type benefits are offered
- The engagement has a defined scope, project, or end date
- The work is peripheral or specialized, not your core service
- A signed independent contractor agreement defines the scope

Key idea: A contract calling someone a “contractor” carries little weight if the relationship is indefinite and central to what you do.



No Single Factor Decides the Case

This test descends from a longer, 20-factor common-law analysis the IRS used historically. The three-factor framework groups those same considerations into workable categories — but the underlying principle hasn't changed:

A worker can score “contractor-like” on one factor and “employee-like” on another — the IRS weighs the total relationship, not a single checkbox

Facts matter more than labels: what actually happens day to day outweighs what a contract or invoice says

The analysis can change over time — a role that started as a genuine project can drift into an employee-like pattern without anyone updating the paperwork

When the picture is mixed, the safer assumption is generally employee status until a professional confirms otherwise



Common Myths That Get People in Trouble

“We signed a contract calling them a contractor.”

A label doesn't override the facts — the IRS looks at how the relationship actually functions

“They asked to be paid as a 1099.”

The worker's preference doesn't change the legal analysis or who owes what taxes

“It's under \$600, so it doesn't matter.”

The \$600 threshold triggers a 1099-NEC filing requirement — it has nothing to do with classification itself

“They only work a few hours a week.”

Part-time doesn't equal contractor — a part-time role can still be an employee role

“Everyone in our industry does it this way.”

Industry norms don't bind the IRS, and “everyone does it” has never been a successful audit defense

Putting It Together: An Example

“*I hired a bookkeeper who comes in every Tuesday and Thursday, uses our accounting software under our license, and I review her work weekly. She also does books for two other small businesses. She invoices us monthly at an hourly rate.*”

Weighing the three factors:

- | | |
|----------------------|--|
| Behavioral: | Mixed — fixed days lean employee-like, but she controls her own bookkeeping method and process |
| Financial: | Contractor-leaning — she serves other clients and bears the ordinary risk of an independent bookkeeping practice |
| Relationship: | Contractor-leaning — no benefits, work is specialized rather than central to what the business sells |

Likely conclusion: a defensible 1099 relationship — the fixed days are outweighed by genuine independence elsewhere. This is the kind of mixed case worth a professional's second look before you rely on it.



What Misclassification Actually Costs

Back payroll taxes

The employer share of Social Security and Medicare, retroactive to when the role began functioning as employment

Penalties and interest

Failure-to-withhold and failure-to-deposit penalties, plus interest accruing from each period's original due date

Multiple agencies, independently

State unemployment and workers' comp agencies can pursue this separately — a federal resolution doesn't close every door

Benefits exposure

Retroactive claims for benefits the worker would have received as an employee — PTO, retirement match, health coverage



Documentation That Supports Your Position



A signed agreement describing outcomes and deliverables, not supervised tasks



Evidence the worker markets services to, and serves, other clients



Invoices reflecting project or milestone billing, not a recurring wage-like pattern



No company equipment, email address, or mandatory training records



Form W-9 collected before the first payment, Form 1099-NEC filed on time

Important: Documentation supports your position — it doesn't override the underlying facts of control and financial risk if they point the other way.

Even strong documentation can't fix a role where the facts clearly point to employee status — in that case, the paperwork just becomes evidence of what you already knew.



When the Case Is Genuinely Unclear

Some working relationships are mixed enough that even careful analysis leaves real uncertainty. Two paths exist for getting formal clarity:

Form SS-8

A formal request to the IRS for a determination on a specific worker's status. Either the business or the worker can file it.

Takes several months for a response, and the determination applies going forward — useful for certainty, not for urgent decisions.

Professional Review

A bookkeeper, CPA, or employment attorney reviews the specific facts of the relationship against the three-factor test and any applicable state law.

Faster than SS-8, and can weigh state-specific tests the IRS process doesn't consider.

Quick-Reference Decision Framework

Four questions that map directly onto the three factors — use this as a fast gut-check, not a final answer.

1 Do you control the hours, methods, or day-to-day process? *Yes → leans employee*

2 Does the worker take on other clients in the same line of work? *No → leans employee*

3 Does the worker bear real risk of profit or loss on the engagement? *No → leans employee*

4 Is the relationship open-ended and central to your core business? *Yes → leans employee*

Three or more “employee-leaning” answers? Treat the role as W-2 until a professional confirms otherwise.



Your Action Checklist



List every current 1099 worker and note hours, exclusivity, and level of direction given



Run each one through all three factors — behavioral, financial, and relationship



Flag any role where two or more factors lean toward employee status



Gather documentation for roles you're confident are genuinely independent



For anything mixed or unclear, get a professional review before relying on the answer



For new hires, decide classification before the offer goes out, not after

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